

Case 2: More Users, Less Money

Domain: Sales and Marketing | Decision Archetype: Profitability | Framework: VRIO

Arjun Sethi, founder of food-delivery app QuickBite, stared at his laptop at 1 a.m. Monthly orders had crossed 2 million for the first time. His investors were thrilled. His finance head was not.

"We're losing more money per order than we were a year ago," she'd told him that evening. "Growth is not the problem. Growth is hiding the problem."

QuickBite had scaled fast by discounting aggressively and paying delivery partners a premium to join over rivals. It worked — order volume tripled in 14 months. But every order still cost the company more to fulfil than it earned. Rivals TastyLoop and a new entrant were matching QuickBite's discounts rupee-for-rupee, so the "growth engine" wasn't even winning market share anymore — it was just funding a discount war nobody could stop.

Arjun's board wanted a plan by Friday. Should QuickBite keep spending to grow, or pull back?

His operations lead suggested a different question first: what does QuickBite actually have that competitors can't easily copy? They listed it out — fast delivery times (matched by rivals within months), discounts (copied instantly), a loyalty app feature (used by less than 8% of customers), and exclusive tie-ups with three popular restaurant chains (currently the only thing rivals hadn't replicated).

If none of QuickBite's advantages were hard to copy or rare, then spending more to "grow" was just buying temporary market share — not building anything defensible.

Exhibit 1 — Cost Per Order (Rs.)

	Delivery Cost	Discount Given	Revenue Earned	Net per Order
This Quarter	42	38	65	-15
Same Quarter Last Year	40	22	68	+6

Exhibit 2 — Simple Capability Check

Capability	Valuable?	Rare?	Hard to Copy?	Currently Used Well?
Fast delivery	Yes	No	No	Yes
Discounts	Yes	No	No	Yes

Loyalty app feature	Yes	Yes	Somewhat	No (low usage)
Exclusive restaurant tie-ups	Yes	Yes	Yes	Partially

Discussion Questions

1. Based on the capability check, where should QuickBite actually be investing its money?
2. Should QuickBite keep discounting to grow, or slow down and fix profitability first?
3. What would you tell the board on Friday?